
JAPAN 2003

1. Overview of the system

Unemployed persons can receive an unemployment insurance benefit (basic allowance) for a period varying with the reason of job separation, the age and the employment record of the claimant. As long as they satisfy certain conditions, social assistance is also available for persons with limited means; it includes a housing aid. Income tested family benefits can be obtained, as well as means-tested lone parent benefits. Income-related child-care costs are paid for children under 6. Central and local government taxation is individual. The 2003 AW earnings level is JPY 4 903 985. It is assumed that 80 per cent of this amount is in standard earnings, and 20 per cent is in the form of an annual bonus.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

Minimum of 6 months of insured work in the last 12 months, with minimum 14 days of work per month.

2.1.2 Contribution conditions

As described in section 2.1.1.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The basic allowance is calculated from the daily amount of wages (DAW). DAW is the amount obtained by dividing the total amount of wages, excluding bonuses, paid during the last 6 months by 180 days.

A benefit ratio (BR) is then calculated for those under 60 years old, with the following formula:

- i) If $2\,140 \leq \text{DAW} < 4\,210$ BR = 0.8
- ii) If $4\,210 \leq \text{DAW} < 12\,220$ BR = $0.8 + [(0.3 * (4\,210 - \text{DAW})) / (12\,220 - 4\,210)]$
- iii) If $12\,220 \leq \text{DAW} < \text{Maximum Amount}$ BR = 0.5
- iv) If $\text{DAW} \leq 2\,140$ or $\text{DAW} \geq \text{Maximum Amount}$.

The daily amount of basic allowance is fixed at $2\,140 * 0.8$ and the $\text{Maximum Amount} * 0.5$ respectively.

The maximum amount of DAW

Age	In JPY
- 29	13 160
30 - 44	14 620
45 - 59	16 080

BR for recipients who are equal to or over 60 but under 65 is calculated with the following formula:

- i) If $2\,140 \leq \text{DAW} < 4\,210$ BR = 0.8
- ii) If $4\,210 \leq \text{DAW} < 10\,950$ BR = $0.8 + [(0.35 * (4\,210 - \text{DAW})) / (10\,950 - 4\,210)]$
- iii) If $10\,950 \leq \text{DAW} < 15\,580$ BR = 0.45
- iv) If $\text{DAW} \leq 2\,140$ or $\text{DAW} \geq 15\,580$
The daily amount of basic allowance is fixed at $2\,140 * 0.8$ and $15\,580 * 0.45$ respectively.

2.2.2 *Income and earnings disregards*

It is not means-tested, and the benefit stops when the recipient gets employed or starts his/her own job. Means-tested social assistance can complement the unemployment benefit.

2.3 *Tax treatment of benefit*

Not taxable.

2.4 *Benefit duration*

It is paid on a 7-day week basis, after a 7-day waiting period, for a period that varies from 90 to 360 days according to the period of employment insured, the age of the recipient and the reason of job separation, as follows:

Duration of benefits for the ordinary unemployed					
Classification	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
All ages	90 days		90 days	120 days	150 days

Duration of benefits for persons difficult to re-employ					
Age	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
Younger than 45	150 days	300 days			
45 - 64		360 days			

Duration of benefits for the unemployed as a result of bankruptcy, dismissal, etc.

Age	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
Younger than 30	90 days	90 days	120 days	180 days	210 days
30 - 44	90 days	90 days	180 days	210 days	240 days
35 - 44	90 days	90 days	180 days	240 days	270 days
45 - 59	90 days	180 days	240 days	270 days	330 days
60 - 64	90 days	150 days	180 days	210 days	240 days

A unique feature in the unemployment benefit system is the re-employment allowance: a lump-sum amount is paid to an unemployment benefit recipient, whose remaining duration of benefits of basic allowance is one-third or more of the prescribed duration of benefit and 45 days or more, and who takes up steady employment or starts his/her own job. The amount of this allowance is equal to the remaining benefit period $\times 0.3 \times$ the daily amount of basic allowance.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

When older workers equal to or over 65 lose their job, the benefits for them are paid as a lump sum.

Insured employment (years)	The benefit amount* (JPY)
Less than 1	30 * daily benefit of basic allowance
1 – 4	60 (50) * daily benefit of basic allowance
5 –	75 (50) * daily benefit of basic allowance

* The numbers in parenthesis are for recipients who were insured short-time workers.

The daily amount of basic allowance is calculated the same as that of recipients under 30 years old.

3. **Unemployment assistance**

None.

4. **Social assistance**

Social assistance consists of eight types of aids provided for those who are unable to provide minimum living standards. These are: livelihood aid, housing aid, medical aid, long-term care aid,

occupational aid, education aid, maternity aid, and funeral aid. Only livelihood aid and housing aid are considered here. The selected rates are classified as Grade 1-1, as paid in Osaka and Tokyo.

4.1 *Conditions for receipt*

It is tested against gross earned income.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Livelihood aid is composed of two types of benefit:

- Personal expenses (Category 1) are related to the age of each family member:

Age	Benefit amount for region (Grade 1-1) (JPY per month)
0	15 000
1 - 2	21 830
3 - 5	27 000
6 - 8	32 090
9 - 11	36 520
12 - 14	44 100
15 - 17	47 400
18 - 19	42 090
20 - 40	40 050
41 - 59	38 260
60 - 69	36 170
70	32 400

- Household expenses (Category 2) are related to the number of family members:

Number of family members	1	2	3	4 + X
Basic amount (in JPY per month)	43 520	48 170	53 400	58 100 + 440 X

The maximum amount of livelihood aid is calculated by summing up amounts of Category 1 for each family member and amounts of Category 2.

A housing aid is also available.

Number of family members	1	2-	7-
Basic amount (in JPY per month)	53 700	69 800	83 800

4.2.1.1 *Irregular additional payments*

Winter supplementary assistance (in Tokyo, in JPY per month) is provided 5 months in a year (from November to March).

	year	1 person	2	3	4	5 and more amount to add per 1 increase
13	2001	3,130	4,060	4,840	5,490	200
14	2002	3,130	4,060	4,840	5,490	200
15	2003	3,090	4,010	4,780	5,420	200
16	2004	3,090	4,000	4,770	5,410	200
17	2005	3,090	4,000	4,770	5,410	200
18	2006	3,090	4,000	4,770	5,410	200
19	2007	3,090	4,000	4,770	5,410	200
20	2008	3,090	4,000	4,770	5,410	200
21	2009	3,090	4,000	4,770	5,410	200

4.2.2 *Income and earnings disregards*

Earnings net of tax and social security contributions up to JPY 8 340 per month are disregarded. From this level, social assistance is reduced by earnings net of tax and social security contributions exceeding a threshold which increases with earnings. The monthly disregard is assumed to increase proportionally with gross earnings. The monthly amounts are as follows for the same region (Grade 1-1) as for personal expenses:

Monthly gross earnings X (JPY)	Monthly threshold Y (JPY)
0 – 8 340	0 – 8 340
8 340 – 92 000	8 340 – 22 570
92 000 – 244 000	22 570 – 33 260
244 000 +	33 260

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

As long as the conditions are fulfilled.

4.5 *Treatment of particular groups*

None.

4.5.1 *Others if applicable*

5. Housing benefits

See social assistance in section 4.

6. Family benefits

6.1 Conditions for receipt

The benefit is income-tested. It is paid for a child under the age of elementary school admission. Since June 2000, the age limit was raised to 6 years old.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

JPY 5 000 per month per child for the first two children, and JPY 10 000 per month per child for the third and subsequent children.

6.2.2 Income and earnings disregards

It is paid if the annual gross income (※) minus the employment income deduction (see section 10.1) is lower than JPY 3.01 million (JPY 4.6 million for employees) plus JPY 380 000 per dependent.

(※) = income of the person who mainly supports children eligible for the benefit.

(ex. income of either parents whose income is higher than the other)

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

As long as the conditions are fulfilled.

7. Child-care benefits

There are no child-care benefits, but a system of mainly income related child-care costs exists.

7.1 Conditions for payment

To have a child under 5 years old. The cost/contribution is income related: it increases with local and central income tax (see tax system in section 10).

7.2 *Calculation of cost amount*

7.2.1 *Calculation of gross cost*

Municipal child-care is available. The following is used as the standard for calculating the amount of government subsidy to each municipality. The more income tax a family pays, the bigger the contribution to the child-care costs:

Standard child-care cost per child (JPY per month)

Category*	Income tax position (JPY per year)	Age of child (in years)	
		< 3	3 <
1	Eligible to social assistance	0	0
2	No local tax	9 000	6 000
3	Local tax	19 500	16 500
	Central tax		
4	- 64 000	30 000	Actual cost (< 27 000)
5	64 000 - 160 000	44 500	Actual cost (< 41 500)
6	160 000 - 408 000	61 000	Actual cost (< 58 000)
7	408 000 +	Actual cost (< 80 000)	Actual cost (< 77 000)

* Categories 2, 3 exclude cases which fall into categories 1, 4-7.
Categories 4-7 exclude cases which fall into category 1.

7.2.2 *Income and earnings disregards*

Local and central income tax are taken into consideration, there are no disregards.

7.3 *Tax treatment of cost*

The implicit benefit is not taxable.

7.4 *Treatment of particular groups*

None.

8. **Employment-conditional benefits**

Re-employment allowance (see section 2.4).

Note that removal expenses are provided for persons who have to move after having obtained a job or a training introduced by the Public Employment Security Office.

9. **Lone-parent benefits**

9.1 *Conditions for receipt*

To be a lone parent, and to have a child who has not yet reached his/her 18th birthday by 31 March of the given year.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

Number of children	1	2 + X
Basic amount (in JPY per month)	41 880	46 880+ 3 000 X

9.2.2 *Income and earnings disregards*

Means-tested.

Gross annual income minus the employment income deduction (see section 10) minus JPY 80 000 - the Income-tested thresholds are based on the number of dependents.

For female lone parents and foster parents(*) whose earnings of the previous year were less than JPY 1.30 million, monthly allowance is granted of JPY 42 370 in case of one child, JPY 47 370 in case of two children, and for third child and up additional JPY 3 000 for each child. For such persons(**) whose earnings of the previous year were more than JPY 1.30 million but less than JPY 3.65 million, monthly allowance is reduced between JPY 10 and 32,000 according to income.

* foster parents : persons who foster children(live with them, look after them and make their living) ,in case they have no mothers or their mothers don't look after them.

* * such persons : female lone parents and foster parents (in the first sentence)

If the income of the previous year exceeds JPY 3.65 million , the allowance of the year will not be paid.

Monthly allowance=(Annual earnings JPY –JPY 1,300,000)*0.0187052 + JPY 10

9.3 *Tax treatment of benefit*

Not taxable.

9.4 *Treatment of particular groups*

None.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits for central government income tax

There are no tax credits. The tax allowances are as follows:

- Basic exemption: JPY 380 000.
- Spouse exemption: JPY 380 000 if dependent spouse
- Special spouse exemption: JPY 380 000 (according to income of spouse, which will be abolished from FY 2004).
- Dependent exemption: JPY 380 000 for each dependant (or JPY 480 000 for each elderly dependant; JPY 630 000 for each dependant aged 16-23).
- Social security contributions: see section 10.3.
- Employment income deduction: regressive with gross annual earnings. The minimum of JPY 650 000 is granted when the allowance is calculated to be less than this amount:

Gross earnings (million JPY per year)	Marginal rate (%)
0 – 1.8	40
1.8 – 3.6	30
3.6 – 6.6	20
6.6 – 10	10
10 +	5

10.1.2 The definition of taxable income

It is the gross income minus the above tax allowances.

10.1.3 Tax schedule for central government tax

Taxable income (million JPY per year)	Marginal tax rate (%)
0 – 3.3	10
3.3 – 9	20
9 – 18	30
18 +	37

Proportional Tax Reduction (granted as from 1999): after applying the schedule, 20 per cent of calculated amount (ceiling: JPY 250 000).

10.1.4 State and local tax (prefectural and municipal)

The tax allowances are as follows:

- Basic exemption: JPY 330 000.

- Spouse exemption: JPY 330 000 if dependent spouse.
- Special spouse exemption: JPY 330 000 (according to income of spouse, which will be abolished from FY 2005).
- Dependent exemption: JPY 330 000 for each dependant (or JPY 380 000 for each elderly dependant; JPY 450 000 for each dependant aged 16-23).

On taxable income after allowances, prefectural and municipal taxes are as follows:

- Prefectural: it is JPY 1 000 per adult plus:

Taxable income (million JPY per year)	Marginal tax rate (%)
0 – 7	2
7 +	3

- Municipal: for a city of more than 500 000 persons, it is JPY 3 000 per adult (for a city of between 50 000 and 500 000 persons, it is JPY 2 500 per adult, and for a city of less than 50 000, it is JPY 2 000 per adult) plus:

Taxable income (million JPY per year)	Marginal tax rate (%)
0 – 2	3
2 – 7	8
7 +	10

Proportional tax reduction for prefectural and municipal taxes: 15 per cent of the result of applying the schedule, with a ceiling (jointly for both local taxes) of JPY 40 000.

10.2 *Treatment of family income*

The tax unit is the individual, couples are taxed separately.

10.3 *Social security contribution schedule*

- Pension: 6.79 per cent of gross earnings up to JPY 7 080 000.
- Sickness: 4.1 per cent of gross earnings up to JPY 11 760 000.
- Unemployment: 0.7 per cent of gross earnings.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Minimum of 12 consecutive months of insured work in the last 24 months (with minimum 20 hours of work per week) to be eligible for unemployment benefits.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. *Policy developments*

12.1 *Policy changes introduced in the last year*

Law Changing a part of Employment Insurance Law

Under the protracted severe employment/unemployment situation, to appropriately respond to structural change of economic society and to guarantee stable management of employment insurance system, Employment Insurance Law was changed as following:

- Implementing benefits focusing on following situation
 - ① To promote early reemployment
 - ② To respond to diversification of employment formats
 - ③ To respond to difficult situation for reemployment
- Implementing minimum necessary increase of insurance rate for stable management of employment insurance system, with regard to mitigate the sudden increase of premium burden for employers and employees.

12.2 *Policy changes announced*